Eco401 MCQs (Lecture 1 - 18) -3 Solved by vuZs Team

ECO401 MCQs From Quiz No.2
MCQs Covering lectures from 1-18
Solved by vuZs Solution Team in conference chat
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http://groups.google.com/group/vuZs

Question # 1 of 15 (Start time: 03:38:52 PM) Total M - 1
The percentage change in quantity demanded given a percentage change in consumer's income is known as:
Select correct option:

Price elasticity of demand.
Income elasticity of demand. (Correct)
Supply price elasticity.
Cross price elasticity.

Question # 2 of 15 (Start time: 03:39:46 PM) Total M - 1

Microeconomics is the branch of economics that deals with which of the following topics?
Select correct option:

The behavior of individual consumers
Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers and behavior of individual firms and investors. (Correct)

Question # 3 of 15 (Start time: 03:40:39 PM) Total M - 1

At any given point on an indifference curve, the the slope is equal to:
Select correct option:

Unity.
The marginal rate of substitution. (Correct)
The consumer's marginal utility.
None of the given options.

Question # 4 of 15 (Start time: 03:41:30 PM) Total M - 1
Demand is said to be ---------- when the elasticity of demand is less than 1.
Select correct option:

Increasing
Decreasing
Elastic
Inelastic (Correct)

Question # 5 of 15 (Start time: 03:42:00 PM) Total M - 1

We know that the demand for a good or service is inelastic if:
Select correct option:

When price rises, quantity demanded rises.

When price rises, quantity demanded falls.
When price rises, total revenue rises. (Correct)
When price rises, total revenue falls.

Question # 6 of 15 (Start time: 03:43:07 PM) Total M - 1

Which of the following is true about the entrepreneur?
Select correct option:

An entrepreneur is an innovator.

An entrepreneur is someone who brings resources together and produces a product.
An entrepreneur is a risk taker.
All of the given options are correct. (Correct)

Question # 7 of 15 (Start time: 03:43:40 PM) Total M - 1

The principle economic difference between a competitive and a non-competitive market is:
Select correct option:

The number of firms in the market.

The extent to which any firm can influence the price of the product. (Correct)
The size of the firms in the market.
The annual sales made by the largest firms in the market.

Question # 8 of 15 (Start time: 03:44:38 PM) Total M - 1
Diminishing marginal returns implies:
Select correct option:
Decreasing marginal costs.
Increasing marginal costs. (Correct)
Decreasing average variable costs.
Decreasing average fixed costs.

Question # 9 of 15 (Start time: 03:46:05 PM) Total M - 1

Which of the following is true about the point on a nation's production-possibilities curve?
Select correct option:

It shows an undesirable combination of goods and services.

It shows the combinations of production that are unattainable, given current technology and resources. (Correct)
It shows the level of production that will cause both unemployment and inflation.
It shows that resources are fully employed in producing a particular combination of goods and services.

Question # 10 of 15 (Start time: 03:46:51 PM) Total M - 1

Which of the following is true about the market mechanism?
Select correct option:

It is not a very efficient means of communicating consumer demand to the producers of goods and services.
It works through central planning by government.
It eliminates market failures created by government.
It works because prices serve as a means of communication between consumers and producers. (Correct)

Question # 11 of 15 (Start time: 03:48:19 PM) Total M - 1

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?
Select correct option:

200.
5Q.
5.
5 + (200/Q).

Ref by Fuad

TC= FC+ VC

Question # 12 of 15 (Start time: 03:49:16 PM) Total M - 1
A market is said to be in equilibrium when:
Select correct option:

Supply equals Price.

There is downward pressure on price.
The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price. (Correct)
All buyers are able to find sellers willing to sell to them at the current price.

Question # 13 of 15 (Start time: 03:50:06 PM) Total M - 1
The concept of a risk premium applies to a person that is:
Select correct option:

Risk averse (Correct)

Risk neutral
Risk loving
All of the given options

Question # 14 of 15 (Start time: 03:50:25 PM) Total M - 1
If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:
Select correct option:

20% increase in the quantity of boots demanded.

20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded. (Correct)
0.2% increase in the quantity of boots demanded.

Question # 15 of 15 (Start time: 03:51:42 PM) Total M - 1

At the equilibrium price:
Select correct option:

There will be a shortage.

There will be neither a shortage nor a surplus. (Correct)
There will be a surplus.
There are forces that cause the price to change.